Nicholas Fritsch

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Research Interests

Applied Financial Economics and Bayesian Econometrics, with a focus on banking and financial stability, credit risk and stress testing, and tail-risk and distributional modeling using quantile and functional regression

Education

University of Strathclyde — Glasgow, UK
Ph.D. in Economics — 2022 – 2026

- Dissertation: "Three Essays in Empirical Banking and Finance"
  - Ch. 1: Tail Sensitivity of US Bank Net Interest Margins: A Bayesian Penalized Quantile Regression Approach
  - Ch. 2: Macroeconomic Parameter Instability in Auto Loan Loss Models (job market paper)
  - Ch. 3: Probabilistic Anchoring of Inflation Expectations
- Supervisors: Gary Koop and Stuart McIntyre

The University of Akron — Akron, OH
M.A. in Economics — 2012
B.A. in Economics — 2011

Experience

Federal Reserve Bank of Cleveland — Cleveland, OH
Data Scientist Lead, Supervision & Regulation — 2020 – Present
Economic Analyst, Research Department — 2015 – 2020

Federal Reserve Bank of New York — New York, NY
Pricing Specialist, Municipal Liquidity Facility, Markets Group — 2020 – 2021

KeyBank — Cleveland, OH
Credit Risk Analyst, Strategic Analytics — 2011 – 2015

Job Market Paper

Fritsch, Nicholas, and Edward Simpson Prescott (2026). *Macroeconomic Parameter Instability in Auto Loan Loss Models*. Working Paper 26-18. Federal Reserve Bank of Cleveland. https://doi.org/10.26509/frbc-wp-202618.

Abstract: We estimate a discrete-time Markov transition model of auto loan performance over the 2000–2025 period using multinomial logistic regressions. Using rolling pseudo out-of-sample forecasts, we document persistent declines in the sensitivity of the probability of default to an unemployment shock in both the global financial crisis and Covid recessions. The estimated effect of a 1 percentage point increase in unemployment on default risk declined from 16 percent in 2006 to 3 percent post-2020. Two-year cumulative default forecasts over 2020–2021 using pre-pandemic parameters overstate actual defaults by 100 basis points (25 percent), with forecast errors largest in absolute terms for subprime borrowers and largest in relative terms for prime borrowers. The instability persists after controlling for forbearance usage and pandemic-period dummy variables, and is driven primarily by changes in macroeconomic relationships rather than borrower composition. These findings have implications for stress testing models and loss forecasting practices that rely on stable unemployment-default relationships.

Working Papers

Fritsch, Nicholas (2025). *Tail Sensitivity of US Bank Net Interest Margins: A Bayesian Penalized Quantile Regression Approach*. Working Paper 25-09. Federal Reserve Bank of Cleveland. https://doi.org/10.26509/frbc-wp-202509.

Fritsch, Nicholas, and Jan-Peter Siedlarek (2022). *How Do Banks Respond to Capital Regulation? The Impact of the Basel III Reforms in the United States*. Working Paper 22-11. Federal Reserve Bank of Cleveland. https://doi.org/10.26509/frbc-wp-202211. **Revise and resubmit**, *Journal of Banking and Finance*.

Fritsch, Nicholas, John Bagley, and Shawn Nee (2021). *Municipal Markets and the Municipal Liquidity Facility*. Working Paper 21-07. Federal Reserve Bank of Cleveland. https://doi.org/10.26509/frbc-wp-202107.

Policy Publications

Heimer, Rawley, and Nicholas Fritsch (2020). *Intergenerational Homeownership and Mortgage Distress*. Economic Commentary, Federal Reserve Bank of Cleveland.

Siedlarek, Jan-Peter, and Nicholas Fritsch (2019). *Asset Commonality in US Banks and Financial Stability*. Economic Commentary, Federal Reserve Bank of Cleveland.

Work in Progress

Fritsch, Nicholas, and James Mitchell (2026). *Probabilistic Anchoring of Inflation Expectations*.

Other Professional Activities

Presentations

- **3rd Annual Boca Finance and Real Estate Conference**, Florida Atlantic University (USA) Nov 2026
  Macroeconomic Parameter Instability in Auto Loan Loss Models (scheduled)
- **2026 Federal Reserve Stress Testing Research Conference**, Federal Reserve Bank of Boston (USA) Nov 2026
  Macroeconomic Parameter Instability in Auto Loan Loss Models
- **Sixth Biennial Conference on Auto Lending**, Federal Reserve Bank of Philadelphia (USA) Oct 2026
  Macroeconomic Parameter Instability in Auto Loan Loss Models
- **16th European Seminar on Bayesian Econometrics (ESOBE)**, Luiss University, Rome (ITA) Aug 2026
  Probabilistic Anchoring of Inflation Expectations (presented by coauthor)

Discussions

- **3rd Annual Boca Finance and Real Estate Conference**, Florida Atlantic University (USA) Nov 2026
  "How Did Wells Fargo Adjust Its Residential Mortgage Lending Activity in Response to Its Asset Cap?" by Benjamin Kay (scheduled)

Teaching

- **Principles of Macroeconomics** 2019 – 2020
  Adjunct Faculty, Kent State University (Undergraduate)
- **Principles of Microeconomics**; **Principles of Macroeconomics** 2016 – 2018
  Adjunct Faculty, The University of Akron (Undergraduate)

Skills

- **Coding:** R, Python, Stata, SQL
- **Technical Proficiencies:** LaTeX, Git, Claude
- **Languages:** English (native)

References

Professor Gary Koop (Supervisor)
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Professor Stuart McIntyre (Supervisor)
Professor and Head of Department
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